RIDGEPEAK | INDEPENDENT APPLICANT RESEARCH

Conditional Investment Screening Memorandum

Woods Comfort Systems | Central Texas residential HVAC and plumbing | Analyst recommendation: SEEK DATA BEFORE PRICE.

AS OF NOVEMBER 4, 2026

Research package 02 | IC SCREENING MEMO

IMPORTANT: This is an independent analyst work sample. It is not affiliated with, authorized by, or prepared for Ridgepeak Partners or Fortress Service Partners. Research candidates are not confirmed sellers. No candidate has been contacted. All private-company financials are unavailable; financial modeling is illustrative only.

Decision sought

Approve deeper sourcing diligence and a voluntary owner qualification conversation only if performed under proper authorization. DO NOT approve pricing, an LOI, lender discussions, or a live transaction. The company-specific economic history required for valuation is not public.

What is verified versus not verified

Company-reported / public information	Unknown, not assumed
Central Texas HVAC and plumbing presence; the Woods family HVAC history dates to 1956, but this Central Texas company was opened in 2008.	Revenue, EBITDA, free cash flow, balance sheet, utilization, customer counts and concentration.
Website names Christopher Alan Woods as owner/operator and describes generational leadership.	Owner willingness to sell or partner, legal ownership, succession priorities and price expectations.
Company states it remains independent and has not been acquired by private equity.	Whether minority, majority, earnout or partnership terms could ever align.
Company promotes repair, installation and related home services.	Recurring agreement retention, revenue mix, new-build exposure and warranty claims.

Initial strategic rationale

- Central Texas proximity offers the possibility of route-density gains, service branding continuity and localized operator oversight.
- Cross-trade capability could support customer cross-sell but also increases credentialing, workforce and service-line complexity.
- A founder-family approach is important; Fortress publicly emphasizes preserving local brands and partnering around owners' goals.

Reasons the investment may fail

- Seller fit is unknown and an independent owner may reject institutional investment outright.
- Reported services and heritage may mask reliance on new equipment replacement rather than recurring repair and maintenance.
- Technician retention, licensing compliance, field safety, customer acquisition cost and warranty reserves may be weaker than peer narrative implies.
- Competitive sponsor demand can erase returns through high entry multiples; margin for underperformance is thin in the illustrative model.

Transaction economics: illustrative only

The companion spreadsheet uses a wholly synthetic starting revenue of $8.00 million and entry EBITDA margin of 18.00%, generating $1.44 million of fictional EBITDA. With a 5.00x EV/EBITDA entry and a 2.00x debt/EBITDA assumption, it implies a $7.20 million illustrative enterprise value, $2.88 million original debt, and $3.05 million sponsor equity. None of these values is an estimate of Woods Comfort Systems.

Scenario	Revenue growth / EBITDA margin	Exit multiple	Sponsor MOIC	Gross IRR
Downside	2.00% / 15.00%	4.50x	2.28x	17.92%
Base	5.00% / 18.00%	5.50x	3.07x	25.12%
Upside	8.00% / 21.00%	6.50x	4.01x	32.03%

These are model outputs recalculated using each case, not market quotations. All cases use assumptions with two or fewer decimal places; formula outputs retain calculation precision. Returns are gross sponsor proceeds before management fees, carry, incremental preferred terms or taxes at the investor level.

Investment underwriting: key valuation and structure tests

Financial threshold

Base-case IRR of 25.12% is only 0.12 percentage points higher than the assumed 25.00% target. A minor miss could erase the margin. The assumed 5.50x exit multiple also exceeds 5.00x entry, so downside sensitivity to valuation is economically important. An investment decision would need proof of operational improvements and a price that works without optimistic exit assumptions.

Seller structure

The sample assumes 20.00% enterprise-value-equivalent seller rollover, pari passu with sponsor equity, without preferred economics. The actual terms would require legal structuring, tax counsel, a cap table, a seller-specific liquidity goal and verification that the seller values post-close participation.

Debt / cash sweep

Illustrative term debt starts at 2.00x entry EBITDA, capped at 60.00% of EV. Annual free cash flow is swept to principal after cash tax, interest, capital expenditure, incremental working capital and integration charges. The model flags uncovered cash deficits but does not automatically inject new equity. A live lender model needs covenants, seasonal availability, working capital line usage and an actual debt schedule.

Underwriting and diligence gates

Workstream	Minimum evidence before approval
Owner / entity	Equity holders, entity chart, ownership restrictions, seller objectives and related-party contracts.
Quality of earnings	Three years of accrual financials, tax returns, job-level contribution, normalized adjustments and cash conversion.
Customer economics	Service vs install vs new-construction vs commercial split; service agreement renewal / churn; top customers.
Operations	Technician headcount and tenure, utilization, dispatch density, callback rate, fleet age and maintenance.
Regulatory / risk	TDLR and plumbing licenses, permit history, insurance, claims, worker safety, warranty exposure.
Pricing / deal terms	Normalized trailing EBITDA, enterprise-to-equity bridge, working capital peg, debt-like items, tax exposure, rollover rights.
Integration	Systems migration, manager incentives, local brand preservation, dispatch optimization, 100-day KPIs.

Draft investment committee recommendation

STATUS: NOT READY FOR OFFER. Conditional approval for research qualification only. The lead deserves a respectful company-specific conversation if authorization exists, but the financial case is a synthetic demonstration. A transaction cannot be recommended on public web content alone. The first milestone is a credible seller relationship and sufficient financial data to replace every hypothetical company-level input.

Sources

https://woodscomfortsystems.com/about-us/
https://www.fortressservicepartners.com/
https://www.capstonepartners.com/insights/report-residential-services-ma-update/